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The RBI Grade B 2027 Playbook

Phase I to Interview: the five-month plan

Built on the PY 2026 advertisement, the official Phase I cut-offs of 13 June 2026, the RBI Annual Recruitment Calendar for Panel Year 2027 (22 October 2026), the Monetary Policy Statement of 7 October 2026 and Union Budget 2026-27.

WHAT YOU GET

- Official cut-off analysis: what 108.75 out of 200 really demands
- Section-by-section attempt strategy for the 120-minute Phase I clock
- ESI and FM syllabus mapped to the 2026-27 economy, with sourced data
- Answer-writing skeleton and five model answers for Phase II
- Interview bank, weekly planner, mock log and a 30-day revision loop

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CHAPTER 1

The clock is already running

On 22 October 2026 the Reserve Bank of India published its Annual Recruitment Calendar for Class I posts for panel year 2027. For Grade B (DR), General, DEPR and DSIM, it lists the notification month as February 2027, the Phase I examination in April 2027 and Phase II in May or June 2027. Those are months, not dates, and the RBI says plainly that the calendar is indicative. But the sequence is now public, and it changes what a serious aspirant should do this month.

If you start in November 2026, you have roughly five months to Phase I and about eight to Phase II. That is enough time to build the two things the exam actually tests: recognition speed on 200 objective questions, and the ability to write four structured answers with real numbers in them. It is not enough time to read everything. This book is about choosing.

5 months
TO PHASE I
November 2026 to April 2027

375
MARKS THAT DECIDE
Phase II 300 + interview 75

200
PHASE I QUESTIONS
In 120 minutes, four timed sections

What this book is, and what it is not

It is a decision manual. It tells you which parts of the syllabus pay, how to spend the 120 minutes of Phase I, how to build General Awareness from RBI's own documents, what the 2026 cut-offs imply for your target score, how to write an ESI or FM answer that a panel can mark, and what to do in the interview. Every number in it comes from a named official source, listed in Chapter 16.

It is not a mock test series, a monthly current-affairs magazine or a substitute for the RBI advertisement. It has no chapter on motivation and no promise about your chances. What it has is structure, and structure is the part most aspirants get wrong: they prepare Phase I like a sprint and arrive at Phase II, which carries all 375 deciding marks, unable to write 250 words with a single verifiable figure in them.

Three ways to read it

- **First attempt, starting now.** Read Chapters 1 to 5 in one sitting, then work through Chapter 8 with a calendar open. Use Chapters 6, 7, 10 and 11 as reference material during the week.
- **Repeater who has cleared Phase I before.** Skip to Chapter 4. Your problem is almost never knowledge; it is the score arithmetic in one section and the quality of your Phase II answers. Read Chapters 13 and 14 closely.
- **Phase II returnee.** Read Chapter 9 onwards. The Phase I chapters are a two-hour refresher at most, and only if you are re-taking the whole cycle.

Before you rely on any date in this book

The RBI calendar gives months. The advertisement gives dates. The advertisement for each cycle is the only authoritative document for eligibility, vacancies, fees and exam dates, and it can change anything in this book.

This guide is built on the PY 2026 advertisement (RBISB/DA/01/2026-27, dated 29 April 2026) and the PY 2026 examination record. The PY 2027 advertisement was not published when this edition was written. Where a rule matters to your eligibility, verify it against the advertisement the day it appears.

The single most expensive mistake in this exam

Phase I does not carry forward. It shortlists you for Phase II and then disappears. Final merit is Phase II (300 marks) plus the interview (75 marks). So a candidate who spends seven months perfecting Phase I reasoning puzzles, clears Phase I with room to spare, and then writes four shapeless essays in Phase II has spent their year in the wrong place. The correct allocation, for most people, is roughly 60 per cent of study time on Phase I until the Phase I exam, and then a hard switch to Phase II in which every day includes written practice, not reading.

CHAPTER 2

The exam in plain numbers

Grade B recruits officers into three cadres. General is the mainstream route and takes the overwhelming share of applicants. DEPR is for economics postgraduates and DSIM for statistics, data science and econometrics postgraduates; both write subject papers instead of the general aptitude paper. For PY 2026 the RBI advertised 60 posts in total: 40 General, 10 DEPR and 10 DSIM. The PY 2027 split is not known until the advertisement appears.

Stage	What it is	Marks	What it decides
Phase I	One online objective paper, four timed sections	200	Shortlist for Phase II only
Phase II	Three papers: ESI, English, Finance and Management	300	Carried into final merit
Interview	Personality assessment, Hindi or English	75	Carried into final merit
Final merit	Phase II plus interview	375	Selection and rank

Phase I: 200 marks in 120 minutes, and you cannot borrow time

The paper has 200 questions for 200 marks with a quarter-mark penalty for each wrong answer. Each section runs on its own timer: when the timer ends, that section is closed. This single design fact decides how you should practise, because it removes the usual rescue move of spending twenty extra minutes on the section you are good at.

Section	Questions	Marks	Time	Seconds per question
General Awareness	80	80	25 min	18.8
Reasoning	60	60	45 min	45.0
English Language	30	30	25 min	50.0
Quantitative Aptitude	30	30	25 min	50.0
Total	200	200	120 min	36.0

Read the fourth column again. General Awareness is 40 per cent of the paper and gets 21 per cent of the time, at under 19 seconds a question. It is not a knowledge test in the way an MA paper is a knowledge test. It is a recognition test: you either know the fact when you see it, or you do not, and there is no time to reason your way to an answer.

Phase II: three papers, 330 minutes, and the numbers that count

For the General cadre, Phase II is 300 marks across three papers. Paper I (Economic and Social Issues) and Paper III (General Finance and Management) each combine an objective block with a descriptive block; Paper II is English writing, entirely descriptive and typed. Answers to the descriptive parts are typed on a keyboard. Hindi typing in Inscript or Remington layout is permitted for ESI and FM, not for the English paper.

Paper	Structure	Marks	Time
I. Economic and Social Issues	30 objective questions (50) plus 6 descriptive, answer 4 (50)	100	120 min
II. English (Writing Skills)	3 descriptive questions, typed	100	90 min
III. Finance and Management	30 objective questions (50) plus 6 descriptive, answer 4 (50)	100	120 min
Total	Phase II	300	330 min

Two consequences follow. First, 100 of the 300 Phase II marks are written answers of roughly 250 words each, so writing is half the exam. Second, there is no sectional cut-off in Phase II: the Board applies an overall cut-off on the 300-mark aggregate before calling candidates to interview. You can be weak in one paper and strong in the other two, and still be called.

What the job pays, in the advertisement's own words

The PY 2026 advertisement states a starting basic pay of Rs. 78,450 a month in the scale Rs. 78,450-4,050(9)-1,14,900-EB-4,050(2)-1,23,000-4,650(4)-1,41,600, running 16 years, with initial gross emoluments of about Rs. 1,54,936 a month excluding house rent allowance. HRA is 15 per cent of pay where the Bank does not provide accommodation. Pension is through the National Pension System and is mandatory. The Bank may grant up to four advance increments for high qualifications or valuable experience, considered at the interview stage through the biodata form.

Item	Figure	Note
Starting basic pay	Rs. 78,450 per month	PY 2026 advertisement, para 19
Pay scale	Rs. 78,450 to Rs. 1,41,600	16 years, with an efficiency bar
Initial gross emoluments	about Rs. 1,54,936 per month	Excludes HRA; moves with DA
HRA	15 per cent of pay	If Bank accommodation is not provided
Pension	NPS, mandatory	Defined contribution

Why the pay table matters to your preparation

The advertisement's gross figure is not a promise; it moves with dearness allowance and your posting. Use it only to understand the scale. What is fixed is the structure: basic pay, seven named allowances, HRA, NPS, and the loan and medical perquisites listed in para 21 of the advertisement. If you quote pay in the interview, quote the basic pay and the scale, and say the gross moves with DA. Candidates who quote an exact in-hand figure they read on a coaching site get corrected.

CHAPTER 3

Eligibility: the quiet eliminators

Every cycle, a large number of applications fail on a rule that was printed in plain text. The rules below are from the PY 2026 advertisement. Read them against your own documents before you plan a year of study, and re-read them against the PY 2027 advertisement when it appears.

Age, education and attempts, by cadre

Criterion	General cadre	DEPR	DSIM
Age	21 to 30 years	21 to 30 years	21 to 30 years
Education	Graduation, 60 per cent aggregate (50 per cent for SC/ST/PwBD), or post-graduation with 55 per cent	Master's in Economics or Finance, 55 per cent (50 per cent reserved categories)	Master's in Statistics, Maths, Econometrics, Data Science and allied, 55 per cent, or a four-year bachelor's with 60 per cent
Phase I attempts	Six for General and EWS; no limit for SC, ST, OBC and PwBD within the age limit	Same principle	Same principle
Age relaxation	OBC 3 years, SC/ST 5, PwBD 10 (General/EWS), 13 (OBC), 15 (SC/ST); M.Phil 32 years, PhD 34 years; ex-servicemen 5 years	As applicable	As applicable

Two details catch people. First, professional qualifications such as CA, CS and ICWA are accepted for the General cadre in place of a degree under the 60 per cent rule, so a chartered accountant with a 58 per cent graduation average is not automatically out. Second, officers with completed service in scheduled commercial banks, public sector insurers, all-India financial institutions or the RBI can claim age relaxation equal to their completed years of experience, capped at three years and not beyond 33 years including experience.

Fees and the application itself

Category	Fee (PY 2026)
General, OBC, EWS	Rs. 850 plus 18 per cent GST
SC, ST, PwBD	Rs. 100 plus 18 per cent GST (intimation charges)
RBI staff candidates	Nil

Applications are online only, through Opportunities@RBI on rbi.org.in. In PY 2026 the window ran from 29 April to 20 May 2026, closing at 6 pm, with a two-day edit window announced afterwards. You upload a photograph, signature, left thumb impression and a handwritten declaration, and pay online. If you apply to more than one post you submit separate applications with separate fees; where

multiple applications exist, only the last complete one with the higher registration ID is considered. Documents are checked at the interview, not at application, so there is no certificate upload at this stage.

The seven ways applications and candidatures fail

1. Aggregate marks computed wrongly: the notification uses aggregate of all semesters or years, not the final-year percentage.
2. Applying after 6 pm on the closing date. The portal does not stay open for a slow connection.
3. Uploading a photograph or signature outside the specified size and format, then not using the edit window.
4. Assuming a relaxation that applies only to reserved-category posts where such posts exist in the cycle.
5. For DEPR and DSIM, submitting a master's in a subject that is close to, but not in, the listed disciplines.
6. Missing the handwritten declaration, which is a separate upload from the signature.
7. Exceeding the six-attempt limit at Phase I as a General or EWS candidate without realising that each appearance counts.

Do this in the notification week

Download the advertisement PDF and save it. Read paragraphs on eligibility, scheme of examination and appendices, not the summary articles. Compute your aggregate percentage from your marksheets and write it on the first page of your planner. If it is within two percentage points of the threshold, get a CA-certified statement of aggregate marks ready before the interview stage, not after.

CHAPTER 4

What 108.75 out of 200 actually demands

The RBI publishes Phase I cut-offs category by category and test by test. The table below is the official record for the General cadre examination held on 13 June 2026, published with the result on 25 June 2026. It is the most useful single page of data available to a PY 2027 aspirant, because it shows both the floor in each section and the aggregate you must reach on top of it.

Test (maximum marks)	GEN/UR	EWS	OBC	SC	ST
General Awareness (80)	39.00	30.25	34.25	32.00	28.75
English Language (30)	14.50	11.25	12.75	12.00	10.75
Quantitative Aptitude (30)	14.50	11.25	12.75	12.00	10.75
Reasoning (60)	29.25	22.75	25.75	24.00	21.50
Aggregate (200)	108.75	86.00	99.00	88.75	86.75

Source: Reserve Bank of India Services Board, Phase I result and cut-off marks, Officers in Grade B (DR) General cadre, PY 2026, examination held 13 June 2026.

Reading one: the aggregate is 11.5 marks above the sum of the floors

Add the four General-category sectional minimums: 39.00 + 14.50 + 14.50 + 29.25 = 97.25. The aggregate cut-off is 108.75. The gap is 11.5 marks, and it exists because the Board ranks candidates rather than certifying them. Clearing every section by a hair leaves you outside the shortlist. In practice this means your working target is not the cut-off; it is the cut-off plus a cushion you can lose on a bad day.

Reading two: General Awareness is where shortlists are made

The General-category floor in General Awareness is 39 out of 80, which is 48.75 per cent. The floor in Reasoning is also 48.75 per cent, but Reasoning gets 45 minutes for 60 questions while General Awareness gets 25 minutes for 80. In percentage terms, GA is the section with the highest required score per unit of time in the paper, and it is the section most candidates prepare last, from a monthly PDF compiled by someone else. The arithmetic of the paper rewards the opposite: GA is worth 40 per cent of the marks and can be built deliberately from a small set of documents.

Reading three: one bad section cannot be repaired

With per-section timers, a section that goes wrong is finished. If you lose the General Awareness window to a difficult set of questions, no amount of speed in Reasoning recovers it. This is why the plan in Chapter 8 schedules full mocks with sectional timing from January onwards rather than in the last fortnight, and why Chapter 5 gives you exit rules to apply inside each section rather than a mood.

Target scores that leave room for a bad day

The table below is a working target for a General-category candidate, set deliberately above the 2026 cut-off. It assumes you will lose marks you did not plan to lose.

Section	2026 floor (GEN)	Working target	Accuracy needed at target
General Awareness	39 / 80	52 / 80	About 66 per cent of attempts correct

Section	2026 floor (GEN)	Working target	Accuracy needed at target
Reasoning	29.25 / 60	40 / 60	About 70 per cent
English Language	14.50 / 30	19 / 30	About 68 per cent
Quantitative Aptitude	14.50 / 30	19 / 30	About 68 per cent
Aggregate	108.75 / 200	130 / 200	Cushion of about 21 marks

What a repeater should change

If you missed Phase I in 2026, look at your scorecard section by section before you plan anything. A shortfall of one or two marks in General Awareness is a sourcing problem: your notes came from the wrong place. A shortfall in Reasoning is a practice-volume problem. A shortfall in Quant or English usually means you attempted too many questions and paid the negative-marking bill. Three different problems, three different fixes, and the scorecard tells you which one you have.

CHAPTER 5

The 120-minute machine

Phase I is not a test of how much you know. It is a test of how you allocate attention under a hard clock. This chapter gives you the arithmetic and the rules to run the paper, so that the decisions are made in practice, not in the exam hall.

The negative-marking arithmetic, worked out

A wrong answer costs 0.25. A correct answer earns 1. So the expected value of a guess depends entirely on how many options you can eliminate.

Situation	Chance correct	Expected value
Blind guess among 4 options	1 in 4	0.25 x 1 - 0.75 x 0.25 = +0.0625
One option eliminated, 3 remain	1 in 3	0.33 - 0.67 x 0.25 = +0.17
Two options eliminated, 2 remain	1 in 2	0.50 - 0.50 x 0.25 = +0.375
No idea and no elimination, but 15 seconds left	1 in 4	+0.0625, so mark something

The last row is the one people get wrong. Blind guessing is mildly positive, so in the final seconds of a section you should never leave a question blank. But the gain is small, and the real value of the elimination table is elsewhere: it tells you when to stop. If you cannot eliminate even one option in General Awareness after ten seconds, move on, because the next question is worth more than the argument you are having with this one.

The score arithmetic behind a target

Suppose you want 52 in General Awareness. Attempts and errors interact, so work it out once and remember the shape. If you answer 62 questions with 10 wrong, your net is 52 - 2.5 = 49.5. To net 52 with 10 wrong you need 62 correct and 10 wrong, which means attempting 72 of 80 and being right on 86 per cent of attempts. Alternatively, attempt 66 and be right on 60: net 60 - 1.5 = 58.5. The second route is easier. Accuracy beats coverage in every section of this paper, and the elimination table tells you the price of each additional attempt.

Exit rules to memorise before the exam

Section	Rule	Why
General Awareness	Three passes: answer on sight, then eliminate, then mark anything left in the last 60 seconds	18.8 seconds per question leaves no room for recall attempts
Reasoning	One pass for puzzles you can see the shape of; return to the rest only after all easy sets are done	Puzzles are the largest time sink and carry the same marks as single questions
English	Reading comprehension first, grammar next, vocabulary last	RC gives the most marks per minute for a prepared reader
Quant	Data interpretation sets first, arithmetic word problems second, everything else skipped unless the pattern is obvious	DI is mechanical; word problems are where negative marking accumulates

The mock protocol that actually moves scores

Twelve full mocks with sectional timing before Phase I, and every one analysed on the same sheet: section, attempts, correct, wrong, net, time used, and one line on what you would do differently. A mock you do not analyse is a wasted three hours, and a mock taken without sectional timing trains the wrong habit, because it lets you borrow from the sections you like.

1. Mocks 1 to 3: diagnose. Take them untimed-sectionally if you must, but record honest per-section times.
2. Mocks 4 to 8: enforce sectional timing exactly, and apply the exit rules even when they feel wrong.
3. Mocks 9 to 12: full simulation, at the same time of day as your slot, with no phone and no interruptions.
4. After each mock, spend at least as long analysing as taking. The analysis sheet is in Chapter 15.

The one habit that separates shortlisted candidates

They know, before the paper starts, how many questions they will attempt in each section. Not a range. A number. General Awareness 66, Reasoning 45, English 26, Quant 24. When the section opens, the only question left is which 66, and that question answers itself in eighteen seconds.

CHAPTER 6

General Awareness: 80 marks from twelve documents

General Awareness is the only section of Phase I that is fully buildable. Aptitude depends on your schooling and your practice hours; GA depends on which documents you read and how you record them. The RBI does not hide the material. It publishes it.

The source stack, in priority order

Source	What you take from it	Frequency
Monetary Policy Statement, MPC resolution	Repo, SDF, MSF and Bank Rate; stance; growth and inflation projections; vote split	Six times a year, after each MPC meeting
RBI Annual Report	The year in review: growth, inflation, financial stability, regulation	Once a year
Financial Stability Report	Bank asset quality, capital, stress tests, systemic risk	Twice a year
Report on Trend and Progress of Banking in India	Banking structure, performance, inclusion	Once a year
RBI Bulletin	Monthly state of the economy, articles on policy themes	Monthly
Union Budget, Finance Minister's speech	Fiscal deficit, capex, receipts, borrowings, schemes	Once a year
Economic Survey	Sector chapters, data, policy arguments	Once a year
PIB releases and ministry statements	Scheme launches, appointments, official data	Weekly scan
NPCI, SEBI, IRDAI, PFRDA releases	Payments volumes, market regulation, insurance and pension	Monthly scan
One business newspaper	Continuity and context; the only place you will meet a fact before it is in a PDF	Daily, 20 minutes

The six-bucket note system

Do not keep a current-affairs diary organised by date. Keep six buckets, and add to them only when a fact is new, official and quotable. Each entry is one line: the fact, the number, the source, the month.

Bucket	What goes in it	Example entry, October 2026
Monetary policy	Rate decisions, stance, projections, liquidity	MPC raised repo 25 bps to 5.50 per cent on 7 Oct 2026; stance changed to calibrated tightening; FY27 GDP projected 7.1 per cent, CPI 5.2 per cent
Fiscal	Deficit, capex, receipts, borrowings, Finance Commission	Budget 2026-27: fiscal deficit 4.3 per cent of GDP; capex Rs. 12.2 lakh crore; debt-to-GDP 55.6 per cent
Banking and regulation	Asset quality, capital, licensing, NBFCs, governance	RBI Annual Recruitment Calendar for Class I posts, panel year 2027, dated 22 October 2026
Markets and external	Yields, flows, reserves, trade, rupee	Gross market borrowings estimated at Rs. 17.2 lakh crore for FY27
Schemes and social sector	New schemes, allocations, delivery architecture	16th Finance Commission vertical devolution retained at 41 per cent

Bucket	What goes in it	Example entry, October 2026
Institutions and people	Governors, chairpersons, regulators, committees	MPC chaired by Governor Sanjay Malhotra; next meeting 2 to 4 December 2026

The 20-minute daily routine

1. Ten minutes: one newspaper business page. Write nothing yet; just read.
2. Five minutes: one page of an RBI or Budget document. Read in sequence, not at random.
3. Five minutes: add at most three lines to the buckets. Three good lines a day is 90 a month, which is more than this section can use.
4. Once a week: close the notes and recite the month's six headline numbers out loud. Recognition is built by retrieval, not by re-reading.

What the questions actually look like

With 18.8 seconds per question, the paper cannot ask you to derive anything. It asks you to place a fact: which institution, which direction, which order of magnitude. That is why headline numbers matter more than the third decimal place, why the name of the current Governor and the current stance matter, and why a candidate who has read the MPC statement once will beat a candidate who has read forty summaries of it.

A test you can run on yourself this week

Without looking anything up, write down: the current repo rate, the current stance, the FY27 growth projection, the FY27 inflation projection, the fiscal deficit target as a share of GDP, and the month of the next MPC meeting. If you can write all six, your GA system is working. If you can write two, the problem is sourcing, and this chapter is the fix.

CHAPTER 7

The other 120 marks: English, Quant and Reasoning

These three sections are 120 marks and, unlike General Awareness, they reward practice volume in a fairly mechanical way. The trap is treating them as one subject. They are three different skills with three different failure modes.

English, 30 marks in 25 minutes

The floor is 14.50, half the paper. Questions are typically reading comprehension, grammar and usage, vocabulary, and a paragraph or sentence arrangement item. Fifty seconds a question is generous for a prepared reader, which means the section is decided by reading speed and by whether you answer what is asked rather than what you expect.

- Read the questions first for RC passages with more than two questions attached, then the passage. You are hunting, not reading for pleasure.
- Never answer a grammar question from how a sentence sounds. Identify the element being tested: subject-verb agreement, tense sequence, modifier placement, parallelism.
- Vocabulary in context: the passage decides the meaning, not your memory of a word list.

Quantitative Aptitude, 30 marks in 25 minutes

The floor is again 14.50. The section is usually a mix of data interpretation sets, arithmetic word problems (percentages, ratio, averages, time and work, profit and loss, simple and compound interest, mixtures) and a few simplification items. The strategic point is that DI sets are worth several marks each and are mechanical, while word problems are one mark each and are where the negative marking accumulates.

- Build a table of the twelve formulas you actually use, and revise the table, not the textbook.
- Practise approximation: many DI questions need the nearest option, not the exact value.
- Skip any word problem that takes more than 90 seconds to set up. There are easier marks in the same section.

Reasoning, 60 marks in 45 minutes

This is the largest aptitude section and the one where practice shows up fastest. The floor is 29.25, and a prepared candidate should be aiming at 40 or better. Puzzles and seating arrangements dominate the marks; inequality, syllogism, coding-decoding and blood relations are quick wins that should be cleared in the first ten minutes.

The failure mode here is stubbornness. A puzzle that has not yielded a fixed position after two minutes is not going to yield one because you want it to. Mark it, move, and come back only if the section has slack, which it usually does not.

Weekly practice allocation that fits around GA

Section	Hours per week	What the hours are for
Reasoning	5 to 6	Two timed sets plus review of every wrong answer
Quant	4 to 5	One DI set a day, formula revision twice a week
English	3 to 4	One RC passage and 20 grammar items a day
General Awareness	5 to 6	The daily routine in Chapter 6, plus a weekly recall test
Phase II subjects	4 to 6	ESI and FM reading from month two onwards

CHAPTER 8

The five-month plan: November 2026 to April 2027

This plan assumes 26 to 30 hours a week, which is realistic for someone working or studying. It assumes the Phase I examination falls in April 2027, per the RBI calendar. If the advertisement moves the date, shift the plan by the same number of weeks; the internal sequence does not change.

Month by month, with one deliverable each

Month	Focus	Deliverable you can check
November 2026	Diagnose and build the base	One diagnostic mock; the six-bucket GA file started; formulas table written
December 2026	ESI core reading begins; aptitude rhythm	Two ESI units read with notes; 8 timed sectional sets a week
January 2027	FM core reading; mock cycle starts	Four full mocks with analysis; FM syllabus mapped on one page
February 2027	Advertisement month; application filed	Application submitted in week one; descriptive writing practice begins
March 2027	Phase I peak, with Phase II kept alive	Six full mocks; eight written answers, two per week
April 2027	Phase I exam, then a hard switch	Phase I written; Phase II sprint begins the next day
May to June 2027	Phase II	20 written answers, 6 typed full papers, interview question bank

The weekly template

Three hours on weekdays and five on each weekend day gives 25 hours. Put the hardest cognitive work in the morning slot, because Phase I runs on recognition and recognition is best trained when you are fresh.

Slot	Weekday (3 hours)	Weekend (5 hours)
Morning, 60 to 90 min	Aptitude practice: one section, timed	Full mock or sectional test, then analysis
Afternoon, 45 min	ESI or FM reading, one topic	ESI or FM reading, two topics
Evening, 30 to 45 min	GA routine and recall	Written answer practice, one question
Weekly review, 30 min	Update the mock log	Recite the month's headline numbers

Three milestones, each with a test

1. End of December: you can recite the six headline numbers from memory and score above the 2026 sectional floors in two consecutive sectional tests per section.
2. End of February: you are scoring above 115 in full mocks, and your General Awareness score is above 45.
3. End of March: you are scoring above 125 consistently, with no section below its 2026 floor by more than two marks.

Starting in January instead: the 12-week compressed plan

Cut, do not compress. Drop the second reading of ESI and FM; keep one pass with notes. Halve aptitude practice to three timed sets a week and protect the mocks. Keep the GA routine daily, because it is the cheapest marks in the paper and it cannot be compressed into a fortnight. Move written answer practice to one question a week from February, and accept that Phase II will need a full sprint in April and May.

What to do the week the advertisement appears

Read the advertisement yourself, in the PDF, before you read any summary. Confirm the exam date, the fee, the vacancy split and any change in the scheme of examination. Apply in the first three days, not the last three. Then return to the plan; the advertisement rarely changes the syllabus, but it always changes the mood of the people around you, and the mood is not information.

The twenty-week topic grid

Weeks count from the first week of November 2026. Use the middle column to decide what to study; the last column tells you what to add to the GA buckets that week. If your start date is later, shift the whole grid and cut the second pass rather than the first.

Week	Aptitude focus	ESI or FM topic	GA additions
1	Diagnostic mock; reasoning puzzles	ESI: growth and development	MPC October statement
2	Reasoning: seating and arrangements	ESI: national income and measurement	Budget 2026-27 speech
3	Quant: percentages and ratio	ESI: poverty and employment measures	RBI Annual Report chapters
4	English: RC technique	ESI: monetary policy framework	MPC minutes
5	Reasoning: syllogism and inequality	ESI: fiscal policy and deficits	Budget at a glance
6	Quant: DI sets	ESI: financial markets	Financial Stability Report
7	English: grammar set	ESI: balance of payments	Trade data release
8	Full mock; analysis	ESI: globalisation and institutions	IMF and World Bank outlook
9	Reasoning: coding and blood relations	FM: RBI functions	RBI notifications
10	Quant: time and work	FM: monetary instruments	LAF and liquidity data
11	English: vocabulary in context	FM: banking structure	Trend and Progress report

Week	Aptitude focus	ESI or FM topic	GA additions
12	Full mock; analysis	FM: NBFCs and regulation	Regulatory circulars
13	Reasoning: puzzles, timed	FM: payments and settlement	NPCI volumes
14	Quant: interest and profit	FM: risk and derivatives	Markets commentary
15	English: precis practice	FM: governance and ethics	RBI speeches
16	Full mock; analysis	FM: accounting and ratios	Bank results coverage
17	Sectional drills, all four	ESI: revision, units 1 and 2	Month's six headline numbers
18	Sectional drills, all four	ESI: revision, units 3 and 4	Two-month recall test
19	Two full mocks	FM: revision, all units	Three-month recall test
20	Taper; recite attempt numbers	Written answers only	Full fact sheet recital

CHAPTER 9

Phase II decides the rank

Phase I shortlists. Phase II and the interview decide who becomes an officer. The shift is not just of subject; it is of mode. Phase I rewards recognition, Phase II rewards construction: you are given a question, and you have to produce 250 words with a definition, a number, a mechanism and a judgement in them. Most candidates arrive at this stage having never written a single such answer.

How the 330 minutes divide

Paper I and Paper III each give 30 objective questions in 30 minutes and then six descriptive questions in 90 minutes, of which four must be answered. Paper II is three descriptive questions in 90 minutes. All descriptive answers are typed. That means the exam tests your typing as well as your writing, and typing at 25 words a minute rather than 35 costs you roughly eight minutes of thinking time across the day, which is a mark or two.

Block	Time	What good looks like
ESI objective, 30 questions	30 min	One minute a question, no negative-marking heroics
ESI descriptive, 4 of 6	90 min	About 20 minutes an answer, including 3 minutes of planning
English, 3 questions	90 min	About 28 minutes each, with 6 minutes to proofread
FM objective, 30 questions	30 min	As above
FM descriptive, 4 of 6	90 min	As above

There is no sectional cut-off in Phase II

The Board applies an overall cut-off on the 300-mark aggregate to call candidates for interview; it does not require a minimum in each paper. This is strategically important. If ESI is your strength, do not spend equal time on FM out of a sense of fairness; the aggregate is what is read. Balance is only worth pursuing to the point where no single paper embarrasses you in the interview, where a panel can and does ask why your FM score was weak.

The eight-week Phase II plan, starting the day after Phase I

Week	Work	Output
1	Re-read ESI notes against the syllabus; write 4 answers	4 answers, typed
2	FM revision; write 4 answers; one timed ESI descriptive set	4 answers, 1 set
3	English paper practice: essay, precis, comprehension	3 essays, 3 precis
4	Full Paper I simulation under timing	1 full paper
5	Current data refresh: latest MPC, latest CPI, latest budget execution	Updated fact sheet
6	Full Paper III simulation; 4 more answers	1 full paper, 4 answers
7	Full Paper II simulation; interview question bank started	1 full paper, 40 questions listed
8	Two full Phase II simulations, then taper	2 full papers

The rule that makes this plan work

Every study session in Phase II ends with writing, not reading. Reading an ESI chapter feels productive and produces nothing the examiner can mark. Writing a 250-word answer on the same chapter produces a paragraph you can reuse, a number you now remember, and a sentence structure that will come back to you in the exam hall.

CHAPTER 10

Economic and Social Issues: the paper you can actually prepare

ESI has a published syllabus, a stable set of themes and a fact base that the RBI itself publishes. That combination makes it the most preparable 100 marks in the exam. What it does not tolerate is vagueness: an answer that says growth is important without a number scores nothing, and a panel reads a great many such answers.

The syllabus, and what each unit really asks

Unit	Listed themes	What the examiner wants
Growth and development	National income, poverty, employment, sustainable development	Definitions and measurement, plus the trade-off between growth and inclusion
Indian economy	Reforms since 1991, monetary and fiscal policy, Economic Survey and Budget, financial markets, public finance, industry, agriculture, services	Current policy positions with the official numbers attached
Globalisation	Balance of payments, IMF, World Bank, WTO	How external shocks reach the domestic economy, and what institutions do about them
Social structure	Demography, urbanisation, gender, social justice	Structural facts and the policy instruments aimed at them

The fact base you should be able to quote without notes

These are the figures a 2026-27 answer is built on. Every one of them comes from an official document, and each is worth a sentence in an answer and a follow-up in an interview.

Fact	Figure	Source and date
Policy repo rate	5.50 per cent	MPC resolution, 7 October 2026
Standing deposit facility	5.25 per cent	MPC resolution, 7 October 2026
MSF and Bank Rate	5.75 per cent	MPC resolution, 7 October 2026
Stance	Calibrated tightening	MPC resolution, 7 October 2026
GDP growth projection, FY27	7.1 per cent	MPC, October 2026, revised up 40 bps
CPI inflation projection, FY27	5.2 per cent	MPC, October 2026
Headline CPI, next three quarters	about 5.8 per cent average	MPC statement, October 2026
Core inflation projection	4.4 per cent this year	MPC statement, October 2026
Next MPC meeting	2 to 4 December 2026	MPC resolution, 7 October 2026
Fiscal deficit, BE 2026-27	4.3 per cent of GDP	Union Budget 2026-27, 1 February 2026
Central capital expenditure, BE 2026-27	Rs. 12.2 lakh crore	Budget speech, 1 February 2026
Centre's debt-to-GDP, BE 2026-27	55.6 per cent	Budget speech, against 56.1 per cent in RE 2025-26
Vertical devolution to states	41 per cent	16th Finance Commission, accepted in Budget 2026-27
Gross market borrowings, FY27	Rs. 17.2 lakh crore	Budget speech, 1 February 2026

The inflation target itself is 4 per cent with a tolerance band of plus or minus 2 per cent, the framework under which the MPC operates. Quote the band, not just the number, when you discuss the October 2026 decision.

Mechanism note 1: how a repo change reaches your EMIs

The chain is worth memorising because it answers a whole family of questions. The repo is the rate at which banks borrow from the RBI against government securities. When the MPC raises it, the marginal cost of funds for banks rises, and banks reprice deposits and then loans. Lending rates rise with a lag of two to three quarters, credit growth slows, and interest-sensitive demand, housing, vehicles, consumer durables and private capital expenditure, cools. Deposit rates rise faster than loan rates in a tightening cycle, which compresses net interest margins, and lending to segments with weak pricing power, MSMEs in particular, tightens first.

Two frictions are worth naming in an answer. Transmission is incomplete because a large share of bank liabilities is priced at administered or sticky rates, and because government borrowing programmes set a floor under yields. And transmission is asymmetric: it works faster on the way up than on the way down, which is one reason the RBI has repeatedly urged faster pass-through of cuts.

Mechanism note 2: why a supply shock is not a demand problem

The October 2026 statement attributes the inflation pressure to a deficient monsoon, El Nino conditions and high energy prices, and projects headline CPI to average about 5.8 per cent over the next three quarters with core inflation at 4.4 per cent. The gap between headline and core is the signature of a supply shock. Monetary policy cannot grow more onions or import cheaper crude. What it can do is prevent the shock from becoming general, by keeping inflation expectations anchored and by stopping firms from indexing prices to last quarter's headline number. That is the logic of raising rates by a modest 25 basis points while growth is projected at 7.1 per cent: the cost in output is meant to be small, and the gain is credibility.

Mechanism note 3: capex versus revenue spending

Budget 2026-27 raises central capital expenditure to Rs. 12.2 lakh crore from Rs. 11.2 lakh crore budgeted for 2025-26, while the fiscal deficit is budgeted lower at 4.3 per cent of GDP against 4.4 per cent in the revised estimates. Both at once is possible because revenue expenditure is being held down and because nominal GDP is assumed to grow about 10 per cent, from roughly Rs. 357 lakh crore to Rs. 393 lakh crore. The economic argument is the multiplier: capital spending builds assets, crowds in private investment and has a higher multiplier than transfers. The risk is composition: if the consolidation is achieved by cutting maintenance and social spending rather than by raising receipts, the growth gain is smaller than the arithmetic suggests.

How to structure an ESI answer in four moves

1. Define the term in one sentence, in the exam's language, not a textbook's.
2. Give two numbers from the official record, with the document and the month.
3. Explain the mechanism: the causal chain from instrument to outcome, including one friction or lag.
4. State the counter-argument and end with a judgement or a way forward. The judgement is what separates a 6 from a 9.

Ten ESI themes, explained in the amount an answer can use

Each of these is a theme the syllabus names and the paper returns to. Learn the definition, one mechanism and one limitation for each, and you can answer a question from any angle it is asked.

1. GDP, GVA and the difference that matters

Gross domestic product measures output produced within the territory; gross value added measures output at basic prices, before product taxes and subsidies. The practical consequence is that GDP at market prices can rise because taxes rose while value added did not, which is why analysts read GVA when they want to know whether production actually expanded. Nominal to real conversion uses the deflator, which is not the same as the consumer price index, because the deflator covers investment and government spending too. A one-line answer that distinguishes the three is already better than most.

2. Poverty is a measurement argument before it is a moral one

India has used consumption-based poverty lines, updated by expert committees, and now also publishes a multidimensional index that counts deprivations in health, education and living standards rather than only expenditure. The choice of measure changes the answer: a consumption line captures purchasing power, a multidimensional index captures access, and neither captures vulnerability to a shock. In an answer, name the measure before you name the trend, and say what the measure leaves out.

3. Employment statistics are three different questions

The Periodic Labour Force Survey reports usual status, which is a one-year reference period, and current weekly status, which is a one-week reference period; the two produce different unemployment rates from the same population. It also separates self-employment, regular salaried work and casual labour, and distinguishes unpaid family work, which is why female workforce participation reads differently depending on whether you count it. Quoting an unemployment rate without naming the reference period is the most common error in this area.

4. The inflation targeting framework, and why it is reviewed

The framework sets a target of 4 per cent CPI inflation with a tolerance band of plus or minus 2 per cent, and gives the MPC a mandate to bring inflation to the target while respecting growth. Failure is defined by the band, not by the point target, and a sustained breach triggers a report to the government explaining the reasons, the remedial action and the expected time to return. The argument for review is that food prices, which carry the largest weight in the CPI basket, are supply-driven and largely outside the RBI's control; the argument against is that abandoning a nominal anchor costs credibility, which is expensive to rebuild.

5. Fiscal rules: from deficit targets to a debt anchor

India's fiscal framework has moved from annual deficit targets towards a debt anchor. Budget 2026-27 keeps the fiscal deficit at 4.3 per cent of GDP while stating a debt-to-GDP target of 50 plus or minus 1 per cent by 2030-31, with the ratio estimated at 55.6 per cent for 2026-27. The logic of a debt anchor is that it is the stock that determines interest outgo and therefore future fiscal space, while the deficit is only this year's flow. The limitation is that the ratio can improve because nominal GDP grew, not because fiscal behaviour changed, which is why the quality of the adjustment matters as much as its size.

6. Financial inclusion is an architecture, not a scheme

The architecture has four parts: identity through Aadhaar, an account through the financial inclusion programme, a payment rail through the UPI and the Immediate Payment Service, and direct transfer of benefits into accounts. Each part solves a different problem: identity solves verification, the account solves storage, the rail solves transfer cost, and direct transfer solves leakage. The remaining gap is usage rather than access: an account that receives one transfer a month is not an account that builds credit history.

7. Food inflation and the structure of the CPI

Food and beverages carry the largest weight in the consumer price basket, so a monsoon failure moves headline inflation more than any other single shock. That is why the October 2026 statement attributes pressure to a deficient monsoon, El Nino conditions and energy prices, and why core inflation at 4.4 per cent is the number that tells you whether the shock is spreading. A good answer separates the first-round price effect, which monetary policy cannot prevent, from the second-round effect through wages and expectations, which it can.

8. Industry, services and the composition of growth

India's growth is services-heavy and its employment is agriculture-heavy, and the gap between the two is the structural problem the syllabus calls structural transformation. Manufacturing matters for two reasons: it absorbs low-skilled labour in a way that services do not, and it integrates into global value chains, which raises productivity through imported inputs and exported scale. Production-linked incentives, logistics investment and the trade agreements of recent years are all instruments aimed at that gap, and the test of each is whether value addition rises, not whether investment is announced.

9. The external sector in one paragraph

The balance of payments records the current account, which is trade in goods and services plus transfers, and the capital and financial account, which is investment and borrowing. A current account deficit must be financed by net capital inflows; if the inflows are portfolio flows, they can reverse quickly, which is why reserve adequacy and the composition of the deficit matter more than its size. Exchange rate management aims at orderliness rather than a level, and intervention is sterilised so that it does not undo the monetary stance.

10. Demography, urbanisation and municipal finance

Urbanisation is where the demographic dividend and the infrastructure deficit meet. Cities generate a rising share of output but are financed through a narrow base of property tax and transfers, which is why municipal bonds and pooled financing are recurring policy proposals. In an answer, connect the three: migration raises urban labour supply, urban labour supply requires services and housing, and services and housing require municipal revenue that the current framework does not generate at scale.

CHAPTER 11

Finance and Management: banking, markets and the plumbing

FM looks like a long syllabus and is really a system. Once you can describe how money moves through it, most questions become applications of the same few ideas. The syllabus lists financial institutions, RBI's functions, the banking system, the global financial system, information technology in banking, non-banking institutions, digital payments, risk management, derivatives, financial inclusion, alternative sources of finance, corporate governance, the Union Budget, accounting and financial statements, inflation, management and organisational behaviour, and ethics.

The instruments, and when the RBI reaches for each

Instrument	What it does	When it is used
Repo rate	Sets the price of overnight funds against government securities	The main monetary signal
Standing deposit facility	Absorbs liquidity without collateral, at a rate below repo	To keep the floor under call rates
Marginal standing facility	Emergency borrowing above repo, against securities	To cap spikes in the call rate
Cash reserve ratio	Share of net demand and time liabilities held with the RBI	Durable liquidity management, rarely changed
Statutory liquidity ratio	Share of liabilities held in approved securities	Structural liquidity and prudential requirement
Open market operations	Outright purchase or sale of securities	Durable liquidity, and yield management
Bank Rate	Reference rate for long-term facilities and penalties	Signals and penalties

In the current cycle the corridor is explicit: with repo at 5.50 per cent, the SDF is at 5.25 per cent and the MSF and Bank Rate at 5.75 per cent, giving a 50 basis point corridor. Being able to state that corridor, and say what the floor and ceiling do, is exactly the level of precision an FM answer needs.

The banking structure, in one paragraph you can reuse

India's banking system is layered: scheduled commercial banks, comprising public sector banks, private banks, foreign banks and small finance banks; cooperative banks and regional rural banks at the smaller end; and payments banks and local area banks in specific niches. Regulation is by the RBI under the Banking Regulation Act, with deposit insurance through the DICGC. The important analytical point for an answer is that the same activity can sit in different regulatory buckets, and much of India's recent regulatory work has been about making those buckets consistent, from scale-based regulation for NBFCs to the rules governing digital lending.

NBFCs: the shadow banking question

Non-banking financial companies do not take demand deposits and cannot create money in the way banks do, but they intermediate credit, and several of them fund long-dated assets with short-dated liabilities. The episodes of 2018 and 2019 showed what happens when that maturity mismatch meets a funding freeze: default at one large infrastructure lender, then a contagion of risk aversion across the sector. The regulatory answer has been scale-based regulation, tighter governance norms, and closer monitoring of concentration and asset-liability mismatches. An answer that names the mismatch, the contagion channel and the regulatory response is complete.

Digital payments: what a good answer contains

- The architecture: the Unified Payments Interface runs on the Immediate Payment Service rail, with the National Payments Corporation of India as the operator and banks as participants; Aadhaar-based authentication and the Jan Dhan account base gave it reach.
- The benefit: low marginal cost per transaction, audit trail, formalisation of small business receipts, and a data trail that supports credit underwriting.
- The risks: fraud and social engineering, concentration risk in a single operator, cyber and operational resilience, data protection, and the exclusion of users who cannot use a smartphone.
- The regulatory direction: tokenisation, digital lending norms, the central bank digital currency pilot, and grievance redressal through the RBI Ombudsman.

Risk, derivatives and governance in three short blocks

Risk. Credit risk, market risk, liquidity risk, operational risk, and reputation risk. The instruments that manage them are capital, provisioning, limits, collateral, hedging and disclosure. Name the risk, name the instrument, name who supervises it.

Derivatives. A forward is a private contract to trade later at a price fixed now; a future is the same contract standardised and exchange-traded with daily settlement; an option gives the right but not the obligation; a swap exchanges cash flow streams. The economic function is risk transfer, and the systemic concern is leverage and counterparty concentration, which is why central clearing and margin requirements exist.

Governance and ethics. Board independence, audit quality, related-party disclosure, and the conduct of the regulated entity towards customers. In an ethics question, take a position, name the principle, and describe the process you would follow, including disclosure and escalation. Panels are testing whether you will behave predictably under pressure, not whether you can recite a code.

Accounting and management, in the amount the paper actually uses

You need to read a balance sheet, an income statement and a cash flow statement, and know the ratios that come from them: net interest margin, return on assets, return on equity, capital adequacy, gross and net non-performing assets, current ratio, debt to equity. On the management side, the recurring questions are the functions of management, motivation theories, leadership styles, group dynamics, and organisational structure. Answer those with a definition, one application to a bank, and one limitation.

Ten FM themes, in the same format

1. The RBI's functions, stated precisely

Currency issue, banker to the government, bankers' bank, lender of last resort, manager of foreign exchange, regulator and supervisor of the financial system, and developer of the payments system. Each function has an instrument: currency issue has the minimum reserve system, banker to government has the Ways and Means Advances, lender of last resort has the MSF and the LAF, and supervision has inspection, reporting and enforcement. Naming the instrument is what turns a list into an answer.

2. The MPC: composition and how a decision is made

The committee has six members: three from the RBI, including the Governor as chair, and three appointed by the central government, meeting at least four times a year. Each member has one vote, and the Governor has a casting vote in a tie. The resolution publishes the vote and the stance, and the minutes follow later. That is why the October 2026 statement's word 'unanimous' is itself information: it tells you the committee's disagreement, where it exists, is about the stance rather than the rate.

3. Prudential regulation: what the tools actually do

Capital requirements absorb losses before depositors do; provisioning recognises expected loss on the loan book; exposure norms stop concentration in one borrower or sector; liquidity requirements ensure a bank can meet outflows without fire sales; and the prompt corrective action framework escalates supervisory intervention as capital, asset quality or leverage deteriorates. Regulation is therefore a set of buffers and triggers, not a set of prohibitions, and an answer that says which buffer is doing what will read as informed.

4. Payments and settlement: the layers

Wholesale settlement runs on RTGS for high-value, real-time transfers; retail credit runs on NEFT in batches and on IMPS and the UPI in real time; card networks handle authorisation and clearing separately; and securities settlement runs through the clearing corporations with delivery versus payment. The design principle in each case is settlement finality, which is why the RBI regulates the operators as infrastructure rather than as apps.

5. Money market and government securities market

The money market prices short-term funds, with the call market, the tri-party repo and the LAF as its core; the government securities market prices sovereign risk across maturities and sets the benchmark yield that everything else is priced against. A deep and liquid government securities market is a precondition for monetary transmission, because it gives the policy rate a curve to move. India's corporate bond market remains thin at the lower-rated end, which pushes such borrowers to banks and to NBFCs.

6. Insurance and pensions

Insurance is regulated by the Insurance Regulatory and Development Authority and pensions by the Pension Fund Regulatory and Development Authority. The recurring policy questions are penetration and density, the dominance of agency distribution, the claims experience of health insurance, and the adequacy of retirement savings in a system where the National Pension System is the main defined-contribution vehicle. For a bank officer's answer, the link to financial stability is that insurance and pensions move long-term savings into long-term assets, which banks cannot do with deposits.

7. Derivatives: function, and the systemic concern

A derivative transfers a risk from someone who does not want it to someone who is paid to hold it. Forwards are customised, futures are standardised and cleared, options price the right rather than the obligation, and swaps exchange cash flow streams. The systemic concern is not the instrument but the network: leverage, collateral calls and the concentration of exposure in a few clearing members. Central clearing, margin requirements and trade reporting are the regulatory answers.

8. Corporate governance in a regulated entity

Four elements: a board with independent directors and a clear division between management and oversight; an audit committee that owns the relationship with the statutory auditor; disclosure of related-party transactions and of remuneration; and a fit-and-proper test for directors and senior management. In banks there is a fifth: the supervisor's power to remove or to require changes, which is why governance failure in a bank is a supervisory event and not only a shareholder one.

9. Reading a bank's financial statements

Start with the balance sheet: deposits and borrowings on the liability side, loans and investments on the asset side, capital in between. Then the income statement: interest income minus interest expense gives net interest income; add fee income; subtract operating expenses to get pre-provision profit; subtract provisions to get profit. Then the ratios: net interest margin, cost to income, return on assets, capital adequacy, gross and net NPAs, and provision coverage. A supervisor reads the movement in these ratios, not the absolute numbers.

10. Management and organisational behaviour, applied to a public institution

The syllabus asks for the functions of management, theories of motivation, leadership styles and group behaviour. Answer each with one application: planning and control in a supervisory cycle, motivation in a public sector where pay is fixed and intrinsic motivation carries the load, leadership in a crisis where the decision must be made before the data is complete, and group behaviour in a committee that must publish a single decision. That translation is what a panel remembers.

A two-line test for FM answers

If your answer would read the same for any regulator in any country, it is too general. Anchor it in India's institutions and instruments: the RBI's mandate, the LAF corridor, the banking structure, the payments architecture. Specificity is the whole game.

CHAPTER 12

The English paper: three questions, 90 minutes, keyboard

Paper II is 100 marks and entirely descriptive: three questions, usually an essay, a precis or summary exercise, and a comprehension-based writing task. It is the paper candidates neglect because it looks like the English they already speak. It is also the paper where a structured writer gains ten marks over a fluent one.

The essay: a spine, not an outpouring

A 300 to 350 word essay in 25 minutes needs five moves: a framing sentence that states your position, two body paragraphs that each make one argument with one example or number, a paragraph that states the strongest objection, and a conclusion that resolves it. Do not write an introduction that describes the topic. The first sentence should already be making the argument.

Move	Words	What it must contain
Position	40 to 50	The claim you will defend, in one sentence
Argument 1	70 to 80	One reason, one piece of evidence
Argument 2	70 to 80	A different reason, not a restatement
Objection	50 to 60	The best opposing case, fairly stated
Resolution	40 to 50	Your judgement, with a condition or a next step

The precis: compression, not selection

A precis is judged on three things: it must be about one third of the original, it must keep the argument's order, and it must contain no example, no figure and no opinion of your own. Write it in the third person, in your own words, in continuous prose. Then count the words and cut, because almost everyone overwrites a precis.

The 90 minutes, allocated

Block	Time	Why
Read all three questions and choose the order	5 min	Start with the question you can structure fastest
Question 1, plan and write	26 min	Plan on screen for 3 minutes; the plan is the marks
Question 2	26 min	As above
Question 3	26 min	As above
Proofread all three	7 min	Typing errors are read as language errors

Twenty errors that cost marks, in the order they cost most

- No clear position in the first two sentences; the examiner cannot tell what you are arguing.
- One long paragraph instead of five; structure is visible even on a screen.
- Repeating the question as the introduction.

- Statistics invented or remembered loosely. If you are not certain of a number, describe the direction instead.
- Formal register breaking into chatty phrasing.
- No counter-argument, which reads as shallow analysis.
- Precis containing examples or your opinion.
- Exceeding the word limit by a wide margin; it signals an inability to compress.
- Typing errors in proper nouns and scheme names.
- Unbalanced time: a brilliant first answer and a thin third one.

The remaining ten are variations of the same faults: vague verbs, passive constructions where an actor matters, acronyms never expanded, sentences over 30 words, and conclusions that merely summarise.

A worked essay, with the marks visible

Question: Should India's inflation target be reviewed? (about 330 words)

Position. India should review how the 4 per cent target is applied, but not the target itself, because the case for change rests on a problem of composition rather than of level.

Argument one. The target has done the job it was designed for: it gave the market a nominal anchor and made expectations easier to manage. The framework allows a band of 2 to 6 per cent, and the October 2026 projections place headline inflation near 5.8 per cent over three quarters with core at 4.4 per cent. That is a breach caused by food and energy prices, not by excess demand, and a framework that is abandoned every time a monsoon fails is not a framework.

Argument two. What deserves review is the instrument, not the number. Food and beverages carry the largest weight in the consumer basket, and monetary policy cannot grow more of them. A credible reform would publish a core measure alongside the headline, explain in the policy statement which part of the deviation is supply-driven, and let the tolerance band do the work it was designed to do.

Objection. The strongest case for a higher target is that a supply-shock economy pays an output cost for inflation it did not create, and that a developing economy needs a little more inflation to support investment. The answer is that credibility, once spent, is expensive to buy back: the 2026 decision to raise the repo rate to 5.50 per cent and change the stance to calibrated tightening is the cost of defending a number the market believes in.

Resolution. Keep the target, publish better decomposition, and review the framework on its scheduled cycle rather than in response to a bad quarter. Continuity, explained well, is worth more than a new number announced under pressure.

Why this scores: a position in the first sentence, two distinct arguments with sourced numbers, an objection that is genuinely the best one available, and a resolution that answers the question asked. Note that it never uses the word 'holistic'.

A worked precis

Passage (about 170 words). "A central bank's credibility is not a public relations asset; it is a working part of the transmission mechanism. When households and firms believe that inflation will return to target, they set wages and prices with that expectation in mind, and the central bank needs a smaller rate change to achieve a given reduction in inflation. When they do not believe it, each shock requires a larger response, which costs output and employment. This is why committees publish their votes and their projections rather than only their decisions, and why they explain deviations from target instead of ignoring them. The cost of transparency is that it exposes disagreement; the benefit is that it makes policy predictable, and predictability is what allows firms to invest without pricing in a policy surprise. A central bank that is understood is cheaper to run than one that is merely obeyed."

Precis (58 words). Credibility is part of how monetary policy works, not a reputational extra. If households and firms expect inflation to return to target, a smaller rate change achieves the same result; if they do not, every shock demands a larger response and costs output. Publishing votes, projections and explanations makes policy predictable, which is cheaper than being merely obeyed.

Why this scores: about one third of the length, third person, no example, no figure, no opinion, and the passage's argument order preserved.

CHAPTER 13

The answer skeleton that scores

Every descriptive answer in ESI and FM, all 200 marks of them, can be built from the same six-part skeleton. Learn it once and you will never face a blank screen.

The skeleton

Part	Length	Function
1. Frame	One sentence	State what the question is really asking, in your own words
2. Define	One or two sentences	Define the term precisely, including the institution that defines it
3. Data	Two sentences	Two verified numbers with the document and month
4. Mechanism	Three or four sentences	The causal chain, with one lag or friction named
5. Both sides	Three sentences	The strongest counter-argument, stated fairly
6. Judgement	Two sentences	Your position, with a condition or a way forward

Model answer 1: monetary policy stance

Question: The Monetary Policy Committee moved from a neutral stance to calibrated tightening in October 2026. Explain the rationale and the risks this creates.

On 7 October 2026 the MPC raised the policy repo rate by 25 basis points to 5.50 per cent, set the standing deposit facility at 5.25 per cent and the marginal standing facility and Bank Rate at 5.75 per cent, and changed the stance from neutral to calibrated tightening. A stance is not a forecast of the next decision; it tells the market what kind of decision is possible. Calibrated tightening means rate cuts are off the table in the near term, and the next move is either a pause or a hike.

The rationale is visible in the committee's own projections. Headline CPI is expected to average about 5.8 per cent over the next three quarters, above the 4 per cent target at the centre of the 2 to 6 per cent band, while core inflation is projected at 4.4 per cent this year. The gap between the two is the signature of a supply shock, attributed to a deficient monsoon, El Nino conditions and high energy prices. With GDP growth projected at 7.1 per cent for 2026-27, the committee judged that a modest tightening would cost little output and would prevent the shock from generalising into wages and price-setting.

The mechanism is conventional but slow. A higher repo raises the marginal cost of bank funds, which reprices deposits first and loans with a lag of two to three quarters, cooling credit-funded demand. The risks are asymmetric. Deposit rates rise faster than lending rates, compressing net interest margins and tightening credit to MSMEs first. Public capital expenditure, budgeted at Rs. 12.2 lakh crore for FY27, is insensitive to the policy rate, so the burden of adjustment falls on private investment. And because the shock is on the supply side, part of the output cost may be paid without a matching gain in headline inflation.

The judgement is that the stance is defensible on credibility grounds, but its cost will show up in credit growth before it shows up in the CPI. The way forward is liquidity management that keeps the corridor credible, close monitoring of inflation expectations and diffusion indices, and fiscal discipline that protects capital spending while the deficit is held at 4.3 per cent of GDP.

Why this scores: it quotes the decision exactly, separates rationale from mechanism from risk, uses four distinct risks, and ends with a testable judgement rather than a summary.

Model answer 2: fiscal consolidation with higher capex

Question: Budget 2026-27 raises capital expenditure while lowering the fiscal deficit. Is this combination sustainable?

The Budget presented on 1 February 2026 raised central capital expenditure to Rs. 12.2 lakh crore from Rs. 11.2 lakh crore budgeted for 2025-26, and budgeted the fiscal deficit at 4.3 per cent of GDP against 4.4 per cent in the revised estimates for 2025-26. The Centre's debt-to-GDP ratio is estimated at 55.6 per cent for 2026-27, against 56.1 per cent in 2025-26, on the path to the 50 plus or minus 1 per cent target for 2030-31.

The arithmetic works because nominal GDP is assumed to grow about 10 per cent, to roughly Rs. 393 lakh crore, because net tax receipts are budgeted at Rs. 28.7 lakh crore and total expenditure at Rs. 53.5 lakh crore, and because the financing plan keeps gross market borrowings at Rs. 17.2 lakh crore with net borrowings of Rs. 11.7 lakh crore. A deficit ratio can fall while spending rises if the denominator grows faster than the numerator, and that is the design.

The economics is defensible. Capital spending has a higher multiplier than revenue spending, builds assets that lower logistics and input costs, and crowds in private investment rather than displacing it. The 16th Finance Commission's 41 per cent vertical devolution, retained in the Budget, plus Rs. 1.4 lakh crore of Commission grants, keeps state spending in the system.

The risk is composition and assumption. If nominal growth undershoots, the ratio misses. If consolidation is achieved by compressing maintenance and social spending rather than by raising receipts, the growth gain is smaller than the multiplier argument implies. And a large borrowing programme can press on bond yields, crowding out private issuers precisely when private investment is meant to pick up.

The judgement is that the combination is sustainable for one or two years, conditional on nominal growth near 10 per cent and on the quality of the expenditure mix. A credible medium-term debt path, published with the Budget, is the instrument that would make it sustainable beyond that.

Why this scores: it does the arithmetic rather than asserting it, names the two assumptions that could break it, and gives a conditional judgement.

Model answer 3: digital payments and inclusion

Question: Digital payments in India have grown faster than the protections available to the people who use them. Discuss the regulatory challenge.

India's retail payment architecture rests on the Unified Payments Interface, operated by the National Payments Corporation of India on the Immediate Payment Service rail, with banks as participants and Aadhaar-linked authentication plus the Jan Dhan account base providing reach. The public-good design, near-zero marginal cost and interoperability are why adoption moved from urban merchants to small towns within a few years.

The inclusion gain is real: a digital trail lowers the cost of credit appraisal for a small trader, reduces cash handling, and brings receipts into the formal record. The protections have not moved at the same speed. Fraud has shifted from card skimming to social engineering, where the customer is persuaded to authorise the payment themselves, which means no technical control catches it. Liability rules then decide whether a first-time user bears the loss, and that is where trust is won or lost.

Three structural risks deserve naming. Concentration: a single operator carrying the bulk of retail volume is an operational single point of failure, which is why resilience and succession planning matter as much as innovation. Data: payment data is now a credit input, and its use requires consent and purpose limitation. Exclusion: a smartphone-only design excludes the feature-phone user and the elderly, which is why offline and assisted modes exist.

The regulatory direction has been to move with the risk: tokenisation to reduce card data exposure, digital lending norms to discipline app-based credit, the central bank digital currency pilot as a public alternative, and grievance redressal through the RBI Ombudsman. What is still thin is financial literacy at the point of first use and a uniform liability framework that a first-time user can actually understand.

The judgement is that India has solved the payment problem and is now solving the trust problem, and the trust problem is harder because it is behavioural rather than technological. Regulators should measure success not by volume but by the share of disputed transactions resolved in favour of the user within a stated time.

Why this scores: it separates the architecture, the gain, the risk and the response, and it ends with a measurable criterion rather than a slogan.

Model answer 4: NBFCs and systemic risk

Question: Non-banking financial companies are systemically important but not systemically protected. Examine.

NBFCs cannot take demand deposits and therefore cannot create money as banks do, but they intermediate a large share of retail and wholesale credit and they fund long-dated assets, infrastructure, vehicle and gold loans among them, with short-dated market borrowings. That maturity mismatch is the source of their systemic relevance.

The mechanism of contagion is well documented from the 2018 and 2019 episodes. A default at one large infrastructure lender caused mutual funds and banks to reprice counterparty risk across the sector, not just at the defaulting firm. Funding froze for firms with no direct exposure, rollovers failed, and the credit contraction reached retail borrowers who had never heard of the defaulting entity. Depositors were not at risk, because there is no deposit insurance to invoke, but borrowers and investors were.

The regulatory response has been proportionate rather than uniform: scale-based regulation that applies tighter governance, capital and disclosure requirements as an NBFC grows, concentration limits, closer monitoring of asset-liability mismatches, and rules on the quality of the board. The logic is that systemic importance should be measured by the activity and the interconnection, not by the licence category.

The remaining gap is the absence of a resolution framework comparable to the one for banks, which means an NBFC failure is handled through insolvency, slowly, and with uncertain recovery for creditors. That uncertainty is itself a contagion channel.

The judgement is that the description in the question is accurate and the policy direction is right: regulate by activity and interconnection, and build a resolution regime so that failure is orderly rather than contagious.

Why this scores: it explains contagion as a mechanism rather than a story, names the gap in the framework, and keeps the regulatory description accurate without inventing numbers.

Model answer 5: employment and the demographic dividend

Question: India's demographic dividend is often described as an opportunity. What does the labour market evidence of 2026 suggest?

A demographic dividend is a period in which the working-age population grows faster than the dependent population, so that output per capita can rise even if productivity per worker is flat. It is a window, not a guarantee, and it converts into growth only if the additional workers are employed productively.

The 2026 evidence is mixed in a specific way. Aggregate employment has grown, but the composition has shifted towards gig and project work, and entry-level hiring in technology has tightened as routine tasks are automated. A survey of 651 information technology firms by the Indian Council for Research on International Economic Relations found that 55 per cent reported a decline in entry-level hiring, against 14 per cent reporting a decline at senior levels. That is a K-shaped labour market: demand for experience rising while the first rung narrows.

The mechanism matters more than the headline. Firms substitute capital and software for routine cognitive work, which raises productivity and lowers the number of people needed to produce a given output. The workers who are displaced are not unemployable; they are uncredentialed for the roles that remain, which now ask for demonstrable skills rather than degrees. Apprenticeships, internships and portfolios therefore carry more signal than certificates.

The policy response has three parts: skilling that is tied to an employer rather than to a syllabus, social protection that travels with the worker rather than the job, and public investment that creates demand in labour-intensive sectors. Budget 2026-27's capital expenditure of Rs. 12.2 lakh crore is relevant here mainly through construction and logistics employment.

The judgement is that the dividend is still available but is being captured unevenly, and the binding constraint is the transition from education to first employment. A dividend that arrives as underemployment is a demographic burden with better optics.

Why this scores: it defines the term, uses one hard piece of evidence instead of five soft ones, explains the substitution mechanism, and refuses to end on optimism.

How to practise this in 20 minutes a day

Take one question from the ESI or FM syllabus each day. Write the six parts as headings with three bullets under each, not prose. Then write out only the frame and the judgement in full sentences. In ten weeks you will have 60 answer skeletons, which is more than the exam can ask for, and the writing of full answers becomes assembly rather than invention.

The Phase II question bank: forty-eight questions worth answering

Write four answers a week from this list and you will have covered the syllabus in the shapes it is actually asked in. Each question is designed so that a good answer needs a definition, two numbers, a mechanism and a judgement.

Unit	Questions
Growth and development	Is India's growth inclusive? / What does the GDP-GVA gap tell you? / Is the poverty line an adequate measure? / Can India grow at 7 per cent without raising the investment rate? / What is the demographic dividend worth without jobs? / Is sustainable development a constraint on growth?
Indian economy: monetary	Was the October 2026 rate decision right? / Should the inflation target be reviewed? / Why is transmission incomplete? / What does calibrated tightening cost? / Is the LAF corridor doing its job? / How should liquidity be managed in a rate-hike cycle?
Indian economy: fiscal	Is a 4.3 per cent deficit with higher capex credible? / Should India move to a debt anchor? / What is the quality of fiscal adjustment? / Are off-budget borrowings a solved problem? / How should states be compensated for GST shortfalls? / Is the 41 per cent devolution adequate?
Indian economy: real sectors	Why is food inflation persistent? / What should agricultural policy target? / Can manufacturing absorb surplus labour? / Is services-led growth sustainable? / What limits India's logistics competitiveness? / Is the PLI approach working?
Globalisation	How vulnerable is India to a crude price shock? / Is a current account deficit a problem if reserves are adequate? / What should India's stance be at the WTO? / How do global rate cycles reach Indian markets? / Is the rupee's level a policy target? / What does de-dollarisation mean for India?
Social structure	Is urbanisation being financed? / Why does female workforce participation read low? / What does social justice require of a regulator? / Is migration a labour policy or an urban policy question? / How should skilling be funded? / Is caste data necessary for policy?
FM: institutions and markets	Should NBFCs be regulated like banks? / Is a single payments operator acceptable? / Why is the corporate bond market thin? / What is the RBI's role in a bank failure? / Are cooperative banks adequately supervised? / How should the RBI handle a cyber incident at a bank?
FM: management and ethics	How would you manage a team with fixed pay and low morale? / Is transparency always right in a central bank? / What do you do when a senior overrules a correct decision? / Should supervisors publish enforcement action? / How should a public institution handle a conflict of interest? / What is the difference between a rule and a principle in regulation?

CHAPTER 14

The interview: 75 marks in about twenty minutes

The interview is worth 75 marks against Phase II's 300, so it is a fifth of the merit. That is enough to move a rank substantially and rarely enough to rescue a weak Phase II. It is also the stage where candidates with good written scores lose places for reasons that have nothing to do with knowledge: they cannot explain their own biodata, or they argue with the panel, or they have no view on the month's monetary policy decision.

What the panel already has

Your biodata form, your academic record, your work experience and your cadre preference. The form is the agenda. Anything you write on it can be asked about, including the optional subjects you studied eight years ago, and the four advance increments request if you make one. Write nothing you cannot discuss for two minutes.

The four question families

Family	Shape of the question	What a good answer does
You	Why the RBI, why this cadre, what did you do in your last job, why the gap in your record	One reason, one piece of evidence from your own life, no rehearsal
The economy	What did the MPC do in October and why; is 7.1 per cent growth realistic; what should the Budget have done differently	Quotes the decision and the projection, then takes a position
Regulation and institutions	Should the RBI regulate NBFCs like banks; how do you handle a customer complaint that is technically invalid; what is the risk in a single payments operator	Names the trade-off, then chooses a side and says what it would cost
Ethics and conduct	A senior asks you to clear a file; a vendor offers a favour; a colleague takes credit	States the principle, describes the process, discloses and escalates

Twelve questions worth preparing properly

1. Why do you want to join the Reserve Bank rather than a commercial bank?
2. The MPC raised the repo rate to 5.50 per cent and changed the stance to calibrated tightening. Was that the right call?
3. Headline inflation is projected near 5.8 per cent while core is 4.4 per cent. What does that gap tell you?
4. The fiscal deficit is budgeted at 4.3 per cent of GDP with capex at Rs. 12.2 lakh crore. Is that credible?
5. What is the difference between the SDF and the MSF, and why does the corridor matter?
6. How would you explain a repo rate to a shopkeeper in your town?
7. Should the RBI's inflation target be changed from 4 per cent?
8. What is the biggest risk to India's financial stability in 2027?

9 Why are NBFCs regulated differently from banks?

10 Digital payments have grown quickly. What is the most under-addressed risk?

11 You are posted in a district where a bank has mis-sold insurance to farmers. What do you do in your first week?

12 What would you do if you disagreed with your reporting officer's decision on a supervisory action?

How to answer an economics question in the interview

Three sentences: the decision or the fact, the reason, and your position. For example: "The MPC raised the repo by 25 basis points to 5.50 per cent in October because headline inflation is projected to average about 5.8 per cent over the next three quarters, well above the 4 per cent target, while core is at 4.4 per cent. With growth projected at 7.1 per cent, the committee judged the economy could absorb it. I think the call was right, though the cost will appear in credit growth to MSMEs before it appears in the CPI." That is 20 seconds, it contains four verified facts, and it invites a follow-up you are ready for.

The practicalities that decide close calls

- Language: you may be interviewed in Hindi or English. Choose the one in which you can think, not the one that sounds more impressive.
- Documents: carry every original certificate the advertisement asks for, in the order listed, in one folder.
- The advance increments request is considered at this stage through the biodata form. If you claim it, be ready to justify the qualification or experience that earns it.
- Do not argue with a correction. If the panel says the repo is at a different level, and you are certain, say what you based your figure on and let it go. Panels mark composure.
- Have one question ready about the role, not about the process. Do not ask about postings or transfers.

CHAPTER 15

Trackers, checklists and the 30-day loop

Plans fail in the gap between intention and record. Everything in this chapter exists to be printed, filled in and looked at weekly. A tracker you do not fill in is worse than none, because it lets you believe you are on schedule.

Weekly planner

Day	Morning block	Second block	Evening block	Done
Monday	Aptitude, timed	ESI or FM topic	GA routine	
Tuesday	Aptitude, timed	ESI or FM topic	GA routine	
Wednesday	Aptitude, timed	ESI or FM topic	GA routine	
Thursday	Aptitude, timed	ESI or FM topic	Written answer	
Friday	Aptitude, timed	ESI or FM topic	GA routine	
Saturday	Full or sectional mock	Mock analysis	Written answer	
Sunday	ESI or FM, two topics	GA recall test	Week review	

Mock log

One row per mock. The last column is the only one that changes behaviour.

Mock	GA	Reasoning	English	Quant	Net	One thing I will change
1						
2						
3						
4						

The 1-7-30 revision loop for General Awareness

A fact learned once is a fact you will recognise for about a week. A fact retrieved at one day, seven days and thirty days is a fact you will still have in April.

When	What you do	Time
Day 1	Write the fact into its bucket, in one line, with the number and the source	3 min
Day 7	Close the file and recite the week's ten facts; check the ones you missed	10 min
Day 30	Recite the month's headline numbers; rewrite any that you got wrong	15 min

Exam-day checklist: Phase I

- Admit card printed, photograph pasted if required, and the photo ID the advertisement names.
- Reach the centre early; biometric verification takes longer than candidates expect.

- Before the paper: write your per-section attempt numbers on the rough sheet. GA 66, Reasoning 45, English 26, Quant 24, or whatever your mocks justify.
- During the paper: when a section's timer is in its last 60 seconds, mark an answer for every remaining question.

Exam-day checklist: Phase II

- Practise typing the scheme names and the standard data points, because they are what you will mistype under pressure.
- Use the first three minutes of each descriptive block to write a five-line plan in the answer box, then delete it as you write. The plan is what keeps the answer in order.
- Watch the clock per question, not per paper. Twenty minutes an answer, then move, even if the answer is not finished.

Guardrails against the failure that is not about knowledge

Burnout looks like a study plan that has stopped producing scores. If two consecutive mocks fall while hours rise, take two days off, then return to the section with the lowest score and rebuild it from fundamentals. Sleep is part of the plan: recognition speed in an 18-second question is a working-memory task, and working memory is the first thing to go when you are short of sleep.

CHAPTER 16

Where every fact in this book comes from

Nothing in this guide is estimated, and nothing is remembered from a coaching summary. Each figure traces to one of the documents below. Use the same list in your own preparation, and check a number before you quote it in an answer, because a wrong figure in Phase II costs more than a missing one.

Document	What to take from it	Where
Annual Recruitment Calendar for Class I posts, panel year 2027, as on 22 October 2026	Notification and examination months for Grade B, Grade A and other cadres	rbi.org.in, Opportunities@RBI
Advertisement RBISB/DA/01/2026-27, dated 29 April 2026	Eligibility, attempts, fees, scheme of examination, pay, perquisites, syllabus appendices	opportunities.rbi.org.in
Phase I result and cut-off marks, General cadre, PY 2026, examination of 13 June 2026	Sectional and aggregate cut-offs by category	rbi.org.in, results section
Monetary Policy Statement, 2026-27, resolution of the MPC, 5 to 7 October 2026	Repo, SDF, MSF and Bank Rate, stance, projections, vote, next meeting	rbi.org.in, press releases
RBI Bulletin, October 2026	The growth and inflation projections in context	rbi.org.in
Union Budget 2026-27, Finance Minister's speech, 1 February 2026	Fiscal deficit, capex, receipts, expenditure, borrowings, debt-to-GDP, Finance Commission	indiabudget.gov.in
RBI Annual Report, Financial Stability Report, Report on Trend and Progress of Banking in India	Banking structure, asset quality, regulation, systemic risk	rbi.org.in, publications

Document	What to take from it	Where
Press Information Bureau releases	Official confirmation of Budget and scheme announcements	pib.gov.in

How to check a fact in ninety seconds

1. Decide which document would contain it. Monetary facts live in MPC statements; fiscal facts in Budget documents; banking facts in RBI publications.
2. Open the document, not an article about it. Use the browser's search on the PDF.
3. Note the month of the document. A repo rate without a date is not a fact, it is a rumour.
4. Write the figure and the document into your bucket. If you cannot name the document, do not quote the figure in an answer.

A note on what this book does not claim

It does not predict the PY 2027 vacancy count, the cut-off, or the exact exam date. It does not claim that any strategy guarantees selection. It states what the published record shows, and what follows from it. Where the record is silent, this book says so.

CHAPTER 17

Appendix: glossary, facts and answers

Use this section in the last fortnight, and as a reference when an answer needs a precise term.

Glossary of terms the papers use

Term	Meaning in one line
Repo rate	Rate at which banks borrow overnight from the RBI against government securities
Standing deposit facility	Uncollateralised absorption of bank liquidity by the RBI, at a rate below repo
Marginal standing facility	Emergency borrowing window above repo, against securities, for banks
Bank Rate	Reference rate used for long-term facilities and penalties
LAF corridor	The band between the absorption rate and the lending rate that keeps call money stable
CRR	Share of net demand and time liabilities that banks keep with the RBI
SLR	Share of liabilities banks must hold in approved securities
OMOs	Outright purchase or sale of government securities to manage durable liquidity
Calibrated tightening	A stance indicating rate cuts are off the table; the next move is a pause or a hike
Inflation target	4 per cent CPI with a tolerance band of plus or minus 2 per cent
Core inflation	CPI excluding food and fuel, used to read underlying pressure
Fiscal deficit	Gap between total expenditure and total receipts excluding borrowings
Primary deficit	Fiscal deficit minus interest payments
Debt-to-GDP	General government or central government debt as a share of nominal GDP
Revenue expenditure	Spending that does not create assets
Capital expenditure	Spending that creates assets
Effective capex	Capex plus grants to states for asset creation
Vertical devolution	Share of central taxes transferred to states, 41 per cent under the 16th Finance Commission
Market borrowings	Dated securities issued to fund the deficit; gross includes repayments
BoP	Systematic record of a country's transactions with the rest of the world
Current account deficit	Excess of imports of goods and services plus transfers paid over receipts
NBFC	Non-banking financial company; lends but cannot take demand deposits
Scale-based regulation	Tighter rules applied to financial firms as they grow
NPA	Loan on which principal or interest is overdue beyond the prescribed period
NIM	Net interest margin; the spread between interest earned and interest paid
CRAR	Capital to risk-weighted assets ratio; the regulatory capital measure
UPI	Unified Payments Interface, the retail instant payment system operated by NPCI
CBDC	Central bank digital currency; the RBI's e-rupee pilots
DICGC	Deposit Insurance and Credit Guarantee Corporation, insures bank deposits up to a limit
NPS	National Pension System, the defined-contribution pension for RBI officers
HRA	House rent allowance, 15 per cent of pay where accommodation is not provided
Efficiency bar	Point in a pay scale after which increments depend on assessment
Biodata form	The form submitted before the RBI interview; the panel's agenda
Precis	A compressed restatement of a passage, about one third of its length, in your own words

Forty facts to know cold

Recite these until they are automatic. Each is either quoted in this book from an official document or is a stable institutional fact.

1	Repo rate 5.50 per cent, from 7 October 2026
2	SDF 5.25 per cent; MSF and Bank Rate 5.75 per cent
3	Stance: calibrated tightening, changed from neutral
4	The October 2026 decision was unanimous
5	GDP growth projection for 2026-27: 7.1 per cent, revised up 40 bps
6	CPI inflation projection for 2026-27: 5.2 per cent
7	Headline CPI expected to average about 5.8 per cent over three quarters
8	Core inflation projected at 4.4 per cent this year
9	Next MPC meeting: 2 to 4 December 2026
10	MPC chaired by Governor Sanjay Malhotra
11	Inflation target 4 per cent, band 2 to 6 per cent
12	Fiscal deficit BE 2026-27: 4.3 per cent of GDP
13	Fiscal deficit RE 2025-26: 4.4 per cent of GDP
14	Central capex BE 2026-27: Rs. 12.2 lakh crore
15	Central capex BE 2025-26: Rs. 11.2 lakh crore
16	Total expenditure BE 2026-27: Rs. 53.5 lakh crore
17	Net tax receipts BE 2026-27: Rs. 28.7 lakh crore
18	Gross market borrowings FY27: Rs. 17.2 lakh crore
19	Net market borrowings FY27: Rs. 11.7 lakh crore
20	Centre's debt-to-GDP BE 2026-27: 55.6 per cent
21	Debt-to-GDP target: 50 plus or minus 1 per cent by 2030-31
22	16th Finance Commission vertical devolution: 41 per cent
23	Nominal GDP assumption FY27: about Rs. 393 lakh crore
24	Grade B PY 2026 posts: 60, of which General 40
25	PY 2026 Phase I held 13 June 2026; Phase II 25 July 2026
26	PY 2026 Phase I General cut-off: 108.75 of 200
27	PY 2026 GA floor, General: 39 of 80
28	PY 2026 Reasoning floor, General: 29.25 of 60
29	Phase I is qualifying only; final merit is Phase II plus interview
30	Phase II marks: 300; interview: 75; total 375
31	Phase I structure: 200 questions, 200 marks, 120 minutes
32	Sectional timing: GA 25 min, Reasoning 45 min, English 25 min, Quant 25 min

1	Repo rate 5.50 per cent, from 7 October 2026
33	Negative marking in Phase I: one quarter of the question's marks
34	Phase II papers: ESI 100, English 100, Finance and Management 100
35	ESI and FM descriptive: six questions, answer four
36	Grade B starting basic pay: Rs. 78,450 per month
37	Grade B initial gross emoluments: about Rs. 1,54,936 excluding HRA
38	HRA: 15 per cent of pay where accommodation is not provided
39	Pension: NPS, mandatory; up to four advance increments at RBI's discretion
40	PY 2027 calendar: notification February 2027, Phase I April 2027, Phase II May or June 2027

Twelve mistakes that cost a year

1. Preparing Phase I as if it were the exam, and Phase II as an afterthought.
2. Learning General Awareness from a compiled monthly PDF instead of the RBI's own documents.
3. Practising mocks without sectional timing, then meeting sectional timing for the first time in the exam hall.
4. Attempting 78 of 80 GA questions and paying the negative-marking bill.
5. Ignoring English and Quant because the floors look low; the floors are half the paper.
6. Reading ESI and FM without ever writing an answer.
7. Memorising figures without the document and the month attached to them.
8. Applying on the closing day, then discovering an upload was rejected.
9. Skipping the syllabus appendices of the advertisement and studying from a coaching list.
10. Starting Phase II preparation only after the Phase I result.
11. Treating the interview as a formality, and arriving without a view on the month's monetary policy decision.
12. Studying more hours each week instead of analysing the last mock.

Questions readers ask

How many hours a day do I need? Four on weekdays and five on weekends, held steady for five months, is more than enough. Irregular ten-hour days followed by nothing are worse than a steady four, because recognition speed is built by frequency.

Can I clear Phase I with only aptitude and no economics? Yes. Phase I does not test economics beyond current affairs. But Phase II is 300 marks of it, and Phase I marks do not carry forward, so the answer is only useful for the first four months.

Is the cut-off predictable? No. The 2026 General aggregate was 108.75 of 200, which is a fact about that paper. Use it as a floor for your target, not as a forecast.

Do I need coaching? You need a test series with sectional timing, and you need someone or something to mark your written answers. Those are the two things that are hard to do alone.

Which cadre should I choose? General, unless you have a master's in economics (DEPR) or in statistics, econometrics or data science (DSIM). The subject cadres have far fewer posts and a different paper pattern, and applying to both means separate applications and fees.

What if the notification moves the exam earlier? The plan in Chapter 8 is sequenced, not dated. If Phase I moves to March, compress the ESI and FM reading into the first eight weeks and start mocks in December. What you must not cut is the GA routine or the mocks.

Is Hindi typing allowed in Phase II? For the ESI and FM descriptive answers, Hindi typing in Inscript or Remington layout is permitted. The English paper is answered in English only.

How many attempts do I have? Six at Phase I for General and EWS candidates within the age limit; no limit for SC, ST, OBC and PwBD candidates within the age limit, under the PY 2026 rules. Verify in the advertisement.

CHAPTER 18

The drill: thirty questions, thirty model answers

Use this in the final month. Cover the right-hand column, answer aloud in one or two sentences, then check. If you cannot answer in two sentences, you do not know it well enough to write about it under time pressure.

Question	Model answer
Why is the SDF rate below the repo rate?	The SDF absorbs liquidity without collateral, so it must pay less than the repo, where the RBI takes securities; the gap keeps the call rate inside the corridor.
What does a change in stance signal?	The kind of decision that is possible next. Calibrated tightening means no cuts in the near term; the next move is a pause or a hike.
Why does the RBI publish projections with the decision?	To make policy predictable and to let the market see the committee's reaction function, which lowers the rate change needed for a given effect.
What is the difference between headline and core inflation?	Headline includes food and fuel; core excludes them and therefore reads underlying demand pressure.
Why is food inflation hard for monetary policy?	It is supply-driven; the RBI cannot raise output of food, only prevent the shock from spreading into wages and expectations.
What is a positive output gap, and why does it matter?	Actual output above potential, which tends to raise inflation and calls for tighter policy.
How does a repo hike reach a housing loan?	Through the marginal cost of bank funds, then deposit repricing, then lending rates, with a lag of two to three quarters.
Why is transmission incomplete in India?	A large share of liabilities is priced at sticky or administered rates, and the government borrowing programme sets a floor under yields.
What does sterilisation mean?	Offsetting the liquidity effect of foreign exchange intervention so that it does not change the monetary stance.
Why does the fiscal deficit fall while capex rises?	Because nominal GDP grows faster than the deficit, and revenue expenditure is held down; the ratio falls even as spending rises.

Question	Model answer
What is the multiplier argument for capex?	Capital spending creates assets and raises productivity, so a rupee of it generates more output than a rupee of revenue spending.
What is crowding out?	Government borrowing raising yields and absorbing savings that private borrowers would otherwise use.
Why is the debt ratio a better anchor than the deficit?	The stock determines interest outgo and future fiscal space; the deficit is only this year's flow.
What did the 16th Finance Commission keep at 41 per cent?	The vertical share of central taxes devolved to states.
What is the difference between gross and net market borrowings?	Gross includes repayment of maturing securities; net is the addition to outstanding debt.
Why are NBFCs systemically relevant without being banks?	They intermediate large credit volumes and fund long assets with short liabilities, so a funding freeze transmits across the sector.
What is scale-based regulation?	Tighter capital, governance and disclosure requirements applied to financial firms as they grow.
Why is the LAF corridor 50 basis points wide?	It is wide enough to keep the call rate stable, and narrow enough to make the repo rate the operative signal.
What does CRAR measure?	Capital as a share of risk-weighted assets, which is the buffer available to absorb loss before depositors.
Why does provisioning matter more than NPA recognition?	Recognition discloses the problem; provisioning absorbs the loss, and only provisioning protects capital.
What is settlement finality, and why does it matter?	The point at which a transfer becomes irrevocable; without it, participants cannot treat a payment as complete.
Why is a single payments operator a systemic concern?	Operational failure or disruption has no substitute at scale, which makes resilience and succession planning regulatory issues.
Why is the corporate bond market thin at lower ratings?	Information and recovery uncertainty raise the cost of assessment, so such borrowers stay with banks and NBFCs.
What is the difference between a future and a forward?	A future is standardised, exchange-traded and cleared daily; a forward is a customised private contract with counterparty risk.
Why do central banks clear derivatives?	To mutualise counterparty risk and to make margin calls predictable, which limits contagion.
What are the elements of bank governance?	Board independence, audit committee authority, related-party disclosure, fit-and-proper tests, and supervisory power to intervene.
What is the NIM, and what compresses it?	Net interest margin; it compresses when deposit costs rise faster than loan yields, as in a tightening cycle.
What is the difference between usual status and current weekly status?	Usual status uses a one-year reference period; current weekly status uses one week. The two give different unemployment rates.
Why does the demographic dividend need jobs, not just workers?	Output per capita rises only if the additional working-age population is productively employed; otherwise it is underemployment.
What is the test of a good policy answer?	A definition, two sourced numbers, a mechanism with a friction, the best counter-argument, and a judgement with a condition.

The final thirty days

Days before Phase I	Work	Output
30 to 21	Two full mocks a week; revise the GA buckets, oldest first	6 mocks, 6 analysis sheets
20 to 11	One full mock every two days; ESI and FM revision, one topic a day	5 mocks, 10 topics revised
10 to 4	Sectional drills only; recite the 40 facts daily; two written answers a week	No new material introduced
3 to 1	One mock, then taper. Sleep, logistics, admit card, centre route	Arrive rested

The exam rewards the candidate who knows exactly what they will do in the next eighteen seconds. Everything else is preparation for that.

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